

19 April 2026

Partner Describes “Excellent” Q1 Above Expectations; AI Adoption Broadening Beyond Contact Center

We are presenting our recent conversation with a ServiceNow partner (detailed feedback in subsequent pages) to provide a frontline view of the trends that we expect to drive fundamentals for ServiceNow over the next 12-18 months. As a reminder, these data points should be considered as part of a broader mosaic and in the context of ServiceNow’s scale as a large, global business. Key Takeaways:

1) Demand Environment Remains Robust with No Signs of Macro-Driven Pullback.

The contact characterizes the demand environment for ServiceNow as “excellent,” with the firm’s ServiceNow practice closing Q1 above what were described as already aggressive internal targets. He specifically calls out banking, financial services & insurance, and manufacturing as the strongest verticals driving a disproportionate share of net new activity in 2026. The partner has not yet seen any impact from geopolitical uncertainty (Iran, tariffs) on buying behavior, adding that “I just don’t see clients talking about it.” His pipeline into 2H26 gives him increased confidence in meeting or surpassing full-year practice goals, though formal targets are not yet being raised given what he describes as his practice’s already aggressive starting point for full year expectations.

2) AI Licensing Overhaul Viewed as Strategically Correct and Removes a Key Adoption Friction Point.

The contact views the April 9th announcement, which embeds AI across every product and licensing tier, replacing the prior sidecar model, as the right strategic move. He reports that in prior client conversations, AI was frequently the first line item cut from budgets because it was positioned as an optional add-on, with clients commonly saying “I need ServiceNow, there’s no question about that. I’m not yet sure if I need AI.” He expects the bundled approach to change client thinking, since even the most basic ServiceNow edition will now include AI capabilities and anticipates the model will include a baseline token allocation per tier, with customers purchasing incremental capacity as usage scales, though specifics on pricing have not yet been fully communicated to partners. He adds that many existing clients are likely not yet aware of the change, and in any case, it would only take effect at renewal.

3) Consumption Mix in Partner’s Book Running Around 20%.

The contact estimates consumption-based pricing is roughly “~20% or below” of ServiceNow spend across his firm’s client base, *which we note is notably below the ~50% of net new revenue figure publicly cited by ServiceNow management and corroborated by our prior survey work.* He attributes the discrepancy to his client mix skewing toward earlier-stage implementers who have not yet ramped consumption-heavy products. He acknowledges the broader industry tension around per-seat licensing in a world where agents are replacing human users, characterizing the April 9 announcement regarding pricing methodology change as a direct response.

4) AI Adoption Broadening Beyond Contact Center into Back-Office Automation.

The partner reports an uptick in AI-related projects going into production vs. last year, though characterizes the increase as incremental rather than dramatic, as many clients earlier in their ServiceNow maturity journey still prioritize getting the basics right before layering in AI. More notable is the broadening of use cases beyond traditional contact center / CSM deployments. The partner is seeing “general

Price Performance



Company Data

Shares O/S (mn)	1,047
52-week range (\$)	211.48-81.24
Market cap (\$ mn)	101,203.00
Exchange rate	1.00
Free float (%)	99.8%
3M ADV (mn)	21.35
3M ADV (\$ mn)	2,303.8
Volatility (90 Day)	55
Index	S&P 500
BBG ANR (Buy Hold Sell)	45 41

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	13,278	15,969	18,633
Adj. EBIT	4,149	5,111	6,152
Adj. EBITDA	5,007	6,068	7,187
Adj. net income	3,669	4,313	5,146
Adj. EPS	3.51	4.12	4.92
BBG EPS	3.48	4.20	5.02
Cashflow from operations	5,444	6,650	7,830
FCFF	4,937	5,897	6,929
Margins and Growth			
Revenue Growth Y/Y (%)	20.9%	20.3%	16.7%
EBIT margin	31.2%	32.0%	33.0%
EBIT Growth Y/Y (%)	27.5%	23.2%	20.4%
EBITDA margin	37.7%	38.0%	38.6%
EBITDA Growth Y/Y (%)	28.0%	21.2%	18.4%
Net margin	27.6%	27.0%	27.6%
Adj. EPS growth	26.0%	17.7%	19.3%
Ratios			
Adj. tax rate	20.0%	20.0%	20.0%
Interest cover	-	-	-
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	32.5%	29.6%	27.2%
Valuation			
FCFF yield	4.9%	5.8%	6.9%
Dividend yield	-	-	-
EV/Revenue	10.1	8.1	6.6
EV/EBITDA	26.7	21.3	17.2
Adj. P/E	27.6	23.4	19.7

Summary Investment Thesis and Valuation

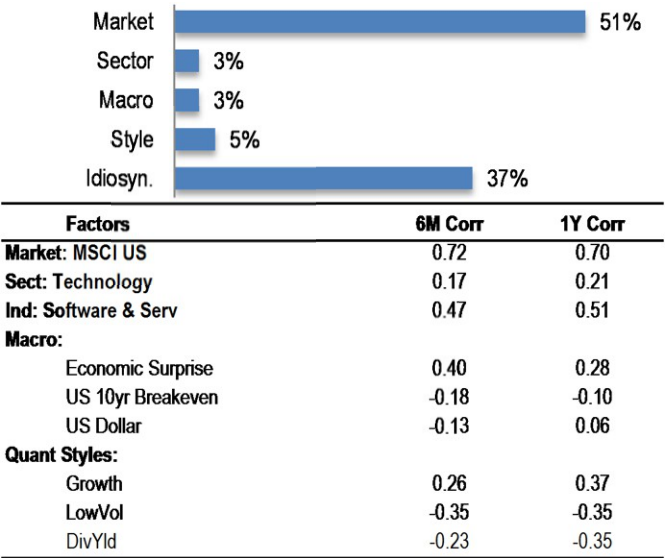
Investment Thesis

ServiceNow stands out as the pioneer and leader of cloud-based IT Workflow management and is in the early stages of transforming into a true multi-product success story as it expands its presence in Employee, Customer, and Creator Workflows. The company’s growth at scale in combination with its robust free cash flow generation and large total addressable market – ServiceNow estimates its TAM will grow to \$275B in FY26 – puts it in an elite category of fast-growing and cash flow-generative software companies. We believe ServiceNow’s focus on growing organically and the seamless nature of its products, and the feedback that frequently comes up in customer and partner checks will serve it well as it seeks to deploy its platform. As ServiceNow’s core IT Service Management product scales and further penetrates, continued development of complementary IT solutions as well as non-IT Workflow offerings should be key drivers of future growth in ServiceNow’s path to \$15B in subscription revenue.

Valuation

Our Dec-26 PT of \$195 reflects a ~30x EV/CY27E uFCF multiple.

Performance Drivers



Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

interest in using AI in the back office,” with clients wanting to handle the same work volumes with fewer people across L1/L2/L3 IT incident resolution, HR service delivery, and security operations. He highlights that the new paradigm involves AI handling complex resolution workflows that previously required human analysis and multi-step research, which he notes is a meaningful step beyond the simple ticket routing and password reset automation that has existed for years. *Net/net, we view ServiceNow’s 12+ organically built businesses with over \$250M in ARR as providing a diverse set of growth vectors and indicative of the traction of the company’s broader platform vision. We see ServiceNow’s cost-savings messaging – enabling companies to do more with less via a quick time-to-value deployment – resonating in this challenging environment as companies are increasingly focused on the ROI their software stack delivers. Maintain OW; Dec-26 PT of \$195.*

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Detailed Ecosystem Highlights

In order to assess trends and business momentum for companies in our coverage, we continually seek the feedback and expertise of customers and partners. Our Ecosystem Insights are an unbiased selection of comments intended to add incremental color to the Software sector. Additionally, it is the view of one customer or partner and might not be statistically significant, and, as such, we would wait to hear from other customers and partners to inform our view from a mosaic of information.

General

- Contact is a senior leader at a mid-sized IT consulting and implementation firm, with deep expertise in ServiceNow deployments across enterprise clients. The firm is a ServiceNow platinum partner.

Demand Environment

- ***Reports that demand for ServiceNow remains robust. The firm's ServiceNow practice closed Q1 above expectations, exceeding what the contact describes as already aggressive internal targets. He characterizes the quarter as "excellent" and notes that he is seeing no signs of clients pulling back on investment into ServiceNow.***
- Banking, financial services & insurance, and manufacturing have been the strongest verticals for ServiceNow engagements so far in 2026 within the partner's practice. He notes that these two areas are driving a disproportionate share of net new activity.
- ***Notes that pipeline heading into the second half of the year gives him increased confidence that the firm will meet or surpass its full-year ServiceNow practice goals.*** The firm is not formally raising targets yet given what the contact describes as initial aggressiveness in setting them, but he describes the trajectory as encouraging.
- He does not see any impact from geopolitical uncertainty (Iran conflict, tariffs, etc.) on buying behavior, adding that his clients are not delaying or postponing purchasing decisions, and that these macro concerns simply do not come up in conversations. ***"I just don't see clients talking about it."***

AI Licensing & Packaging Overhaul

- ***The contact highlights ServiceNow's April 9th announcement that AI will now be embedded in every product across every licensing tier. This is contrasted with the prior model wherein AI (Now Assist) was sold as a separate add-on. He views this as the right strategic move and believes it addresses a key friction point that had been suppressing AI adoption.***
- Notes that in prior conversations with clients, AI was frequently the first item cut from the budget because it was positioned as an optional add-on, and clients, especially those in earlier stages of their ServiceNow journey, would commonly say, ***"I need ServiceNow, there's no question about that. I'm not yet sure if I need AI."*** He expects the new bundled approach to change client thinking, as even the most basic ServiceNow edition will now include AI capabilities.
- He expects the new model to include a baseline allocation of AI tokens with each product tier, with customers likely needing to purchase additional token capacity as

usage scales. Notes that specifics on the new pricing tiers (Foundation, Advanced, Prime) have not yet been fully communicated to partners.

- Believes many existing clients may not yet be aware of the April 9th announcement, and in any case, the changes would only affect contracts at renewal.

Consumption & Pricing Dynamics

- When asked about the proportion of ServiceNow spend attributable to consumption-based pricing among his firm's client base, he estimates it is roughly ~20% or below, *which we note is notably lower than the 50% of net new revenue figure publicly cited by ServiceNow management and similar levels collected in our prior survey work.* Notes that this discrepancy may reflect the firm's client mix skewing toward earlier-stage implementers who have not yet ramped consumption-based products.
- Acknowledges the broader industry tension around ServiceNow's per-seat licensing model in a world where AI agents are replacing human users. Suggests that the company could potentially be effectively "cannibalizing their own model" by deploying agents that reduce the need for fulfiller licenses, and that the April 9th announcement appears to be a direct response to this dynamic.

AI Adoption Trends

- *Reports an uptick in AI-related projects going into production relative to last year, but characterizes the increase as incremental rather than dramatic.* Many clients, in his view, particularly those earlier in their ServiceNow maturity journey, still prioritize getting the basics right before layering in AI capabilities.
- The partner notes an encouraging broadening of AI use cases beyond the traditional contact center/CSM deployments. He is seeing a growing interest in back-office automation, using AI to handle tasks that previously required human research and judgment, such as L1/L2/L3 IT incident resolution, HR service delivery, and security operations. ***"I'm seeing general interest in using AI in the back office"***, specifically he sees clients wanting to handle the same volumes of work with fewer people, going beyond the basic self-service automation that has existed for years.
- *He highlights that the new paradigm involves using AI not just for simple ticket routing or password resets (which were already automated), but for complex resolution workflows that previously required human analysis and multi-step research.*

Investment Thesis, Valuation and Risks

ServiceNow (Overweight; Price Target: \$195.00)

Investment Thesis

ServiceNow stands out as the pioneer and leader of cloud-based IT Workflow management and is in the early stages of transforming into a true multi-product success story as it expands its presence in Employee, Customer and Creator Workflows. The company's growth at scale in combination with its robust free cash flow generation and large total addressable market – ServiceNow estimates its TAM will grow to \$275B in FY26 – puts it in an elite category of fast-growing and cash flow-generative software companies. We believe ServiceNow's focus on growing organically and the seamless nature of its products, and the feedback that frequently comes up in customer and partner checks will serve it well as it seeks to deploy its platform. As ServiceNow's core IT Service Management product scales and further penetrates, continued development of complementary IT solutions as well as non-IT Workflow offerings should be key drivers of future growth in ServiceNow's path to \$15B in subscription revenue.

Valuation

Our Dec-26 PT of \$195 is based on ~30x EV/CY27E uFCF, which is derived from our CY27 uFCF estimate of \$6.7B for ServiceNow. The multiple is at a small discount to the comp set of Cloud Software Companies with 15%+ Growth and Credible AI Stories, which trade at ~34x EV/CY26E uFCF at the median. We believe a discount is warranted given an inferior CY27E revenue growth profile (17% vs. 20% for comps) and exposure to U.S. Federal government business uncertainty, while having similar exposure to AI risks and opportunities compared to the comp set.

Risks to Rating and Price Target

- **Maturation of IT Workflows.** IT Service Management, ServiceNow's flagship product, is generally considered a mature product with relatively high penetration. While ServiceNow has demonstrated an impressive ability to innovate within IT Workflows, which include four other products with ~\$250M+ in ACV, growth in IT Workflows may moderate. If growth in IT Workflows moderates more quickly than expected, it may be difficult for ServiceNow to offset the impact to total revenue growth with growth in other products.
- **Failure to execute in Employee, Customer, and Creator Workflows.** To continue its strong top-line growth trajectory, ServiceNow will be increasingly dependent on the success of its non-IT Workflows, which frequently face competition from cloud-native solutions. Additionally, our partner and customer checks highlight customer hesitancy to become too dependent on one vendor, despite the potential benefits of ServiceNow's platform solution.
- **Deceleration in billings and cRPO growth.** While ServiceNow stopped reporting billings in Q4 2021 in favor of cRPO, we believe investors will still track ServiceNow's calculated billings growth closely, which is generally viewed as a leading indicator of future revenue growth for software companies. While the deceleration has been more pronounced in calculated billings, both billings and cRPO growth have decelerated materially from the ~30%+ level in 2021. A continued deceleration in the year-over-year billings and cRPO growth rate, whether due to underlying fundamental challenges or invoicing optics, could provide a headwind for shares of NOW.

- **Macroeconomic gyrations.** IT spending growth has remained positive for several years, but any persistent macroeconomic headwinds could prompt buyers to more carefully consider its purchase or delay purchasing altogether, which could adversely affect shares. ServiceNow may be particularly impacted by macroeconomic headwinds as it sells a premium product requiring a substantial investment from customers in terms of both time and resources.

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ServiceNow: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26E	2Q26E	3Q26E	4Q26E	
Revenue	10,984	13,278	15,969	18,633	-	Revenue	3,739	3,849	4,093	4,288	
COGS	(1,907)	(2,517)	(3,176)	(3,398)	-	COGS	(736)	(771)	(819)	(850)	
Gross profit	9,077	10,761	12,793	15,236	-	Gross profit	3,003	3,078	3,274	3,438	
SG&A	(3,961)	(4,464)	(5,206)	(6,107)	-	SG&A	(1,245)	(1,303)	(1,260)	(1,398)	
Adj. EBITDA	3,912	5,007	6,068	7,187	-	Adj. EBITDA	1,398	1,407	1,646	1,618	
D&A	(658)	(858)	(957)	(1,035)	-	D&A	(223)	(244)	(257)	(233)	
Adj. EBIT	3,254	4,149	5,111	6,152	-	Adj. EBIT	1,174	1,163	1,390	1,384	
Net Interest	419	451	340	340	-	Net Interest	85	85	85	85	
Adj. PBT	3,628	4,586	5,391	6,432	-	Adj. PBT	1,244	1,233	1,460	1,454	
Tax	(313)	(513)	(666)	(817)	-	Tax	(147)	(144)	(189)	(186)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	2,902	3,669	4,313	5,146	-	Adj. Net Income	996	986	1,168	1,164	
Reported EPS	1.37	1.67	2.40	2.94	-	Reported EPS	0.53	0.52	0.68	0.67	
Adj. EPS	2.78	3.51	4.12	4.92	-	Adj. EPS	0.95	0.94	1.12	1.11	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	1,043	1,047	1,046	1,046	-	Shares outstanding	1,047	1,045	1,045	1,045	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,304	3,726	7,881	13,938	-	Gross margin	82.6%	81.0%	80.1%	81.8%	-
Accounts receivable	2,240	2,627	3,696	4,273	-	EBITDA margin	35.6%	37.7%	38.0%	38.6%	-
Inventories	-	-	-	-	-	EBIT margin	29.6%	31.2%	32.0%	33.0%	-
Other current assets	4,643	4,118	4,013	4,267	-	Net profit margin	26.4%	27.6%	27.0%	27.6%	-
Current assets	9,187	10,471	15,590	22,479	-	ROE	33.7%	32.5%	29.6%	27.2%	-
PP&E	1,763	2,289	2,740	3,285	-	ROA	15.4%	15.8%	15.1%	14.7%	-
LT investments	4,111	3,771	3,771	3,771	-	ROCE	25.8%	26.0%	25.4%	24.1%	-
Other non current assets	5,322	9,507	9,018	9,416	-	SG&A/Sales	36.1%	33.6%	32.6%	32.8%	-
Total assets	20,383	26,038	31,118	38,950	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	0	0	0	0	-	P/E (x)	34.7	27.6	23.4	19.7	-
Payables	68	204	140	141	-	P/BV (x)	10.3	7.7	6.2	4.6	-
Other short term liabilities	8,290	10,239	11,543	13,619	-	EV/EBITDA (x)	34.5	26.7	21.3	17.2	-
Current liabilities	8,358	10,443	11,683	13,759	-	Dividend Yield	-	-	-	-	-
Long-term debt	1,489	1,491	1,491	1,491	-	Sales/Assets (x)	0.6	0.6	0.6	0.5	-
Other long term liabilities	927	1,140	1,746	2,048	-	Interest cover (x)	-	-	-	-	-
Total liabilities	10,774	13,074	14,920	17,298	-	Operating leverage	137.0%	131.7%	114.4%	122.0%	-
Shareholders' equity	9,609	12,964	16,198	21,652	-	Revenue y/y Growth	22.4%	20.9%	20.3%	16.7%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	24.7%	28.0%	21.2%	18.4%	-
Total liabilities & equity	20,383	26,038	31,118	38,950	-	Tax rate	20.0%	20.0%	20.0%	20.0%	-
BVPS	9.34	12.50	15.61	20.86	-	Adj. Net Income y/y Growth	31.0%	26.4%	17.6%	19.3%	-
y/y Growth	24.9%	33.8%	24.9%	33.6%	-	EPS y/y Growth	29.1%	26.0%	17.7%	19.3%	-
Net debt/(cash)	(815)	(2,235)	(6,390)	(12,447)	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	4,267	5,444	6,650	7,830	-						
o/w Depreciation & amortization	564	738	829	905	-						
o/w Changes in working capital	(65)	29	736	849	-						
Cash flow from investing activities	(2,685)	(1,689)	(1,025)	(1,172)	-						
o/w Capital expenditure	(852)	(868)	(1,025)	(1,172)	-						
as % of sales	7.8%	6.5%	6.4%	6.3%	-						
Cash flow from financing activities	(1,159)	(2,340)	(1,470)	(600)	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	0	0	0	0	-						
Net change in cash	406	1,422	4,155	6,057	-						
Adj. Free cash flow to firm	3,750	4,937	5,897	6,929	-						
y/y Growth	28.3%	31.6%	19.4%	17.5%	-						

Source: Company reports and J.P. Morgan estimates.
Note: \$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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